3. Fiscal Policy

To finance the developmental requirements of the economy, the Governments became trapped in the cyclical process of over-money supply. At first it was done by external borrowings but by the late 1960s onwards (once ***deficit financing*** got acceptance around the world) the governments started taking recourse to heavy internal borrowings as well as printing of fresh currency too. A major part of the government's internal borrowing is contributed by the Reserve Bank of India (RBI) which leads to price rise.[54] For any government deficit if the Central Bank (RBI) is purchasing primary issues of the Government securities or creating fresh advances to the government the combined effect has to be higher inflation, lower savings rates and lower economic growth[55a] —the vices of unsound fiscal policy. The higher fiscal deficit tends to bring about higher interest rates as demand for funds rise, excess demand raises expected inflation and expected depreciation of the currency[55b]. Once the foreign exchange (Forex) reserves started increasing with a faster pace by the early 2000–01 fiscal, its cost of maintenance has been translated into higher prices, as the RBI purchases the foreign currencies it supplies into equivalent rupees into the economy which creates extra demand and the prices go up.[56]

New series of CPI— All India weights			
Sub group/group	*Rural*	*Urban*	*Combined (Rural+Urban)*
Cereals and products	19.08	8.73	14.59
Pulses and products	3.25	1.87	2.65
Oils and fats	4.67	2.89	3.90
Egg, fish and meat	3.38	2.26	2.89
Vegetables	6.57	3.96	5.44
Fruits	1.90	1.88	1.89
Sugar etc	2.41	1.26	1.91
Condiments and spices	2.13	1.16	1.71
Non-alcoholic beverages	2.04	2.02	2.03
Prepared meals etc	2.57	3.17	2.83
Pan, tobacco and intoxicants	2.73	1.35	2.13
Food, beverages and tobacco	**59.31**	**37.15**	**49.71**